FACULTY OF INTERNATIONAL RELATIONS

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European Economic Integration

EEI/Lecture-seminar 2

Prague University of Economics and Business

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RELATIONS

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Quick revision and a new reader

- Reader 1 (Sapir, 2011)
  - 3. The Welfare Effects of Integration
- Reader 2
- See the document server (in Insis)
- Green, D. M. (2010). Has Europe Solved the Problem of War? Explaining the ‘Long Peace’of the post-1945 Era. *European Review*, *18*(3), 365-377.

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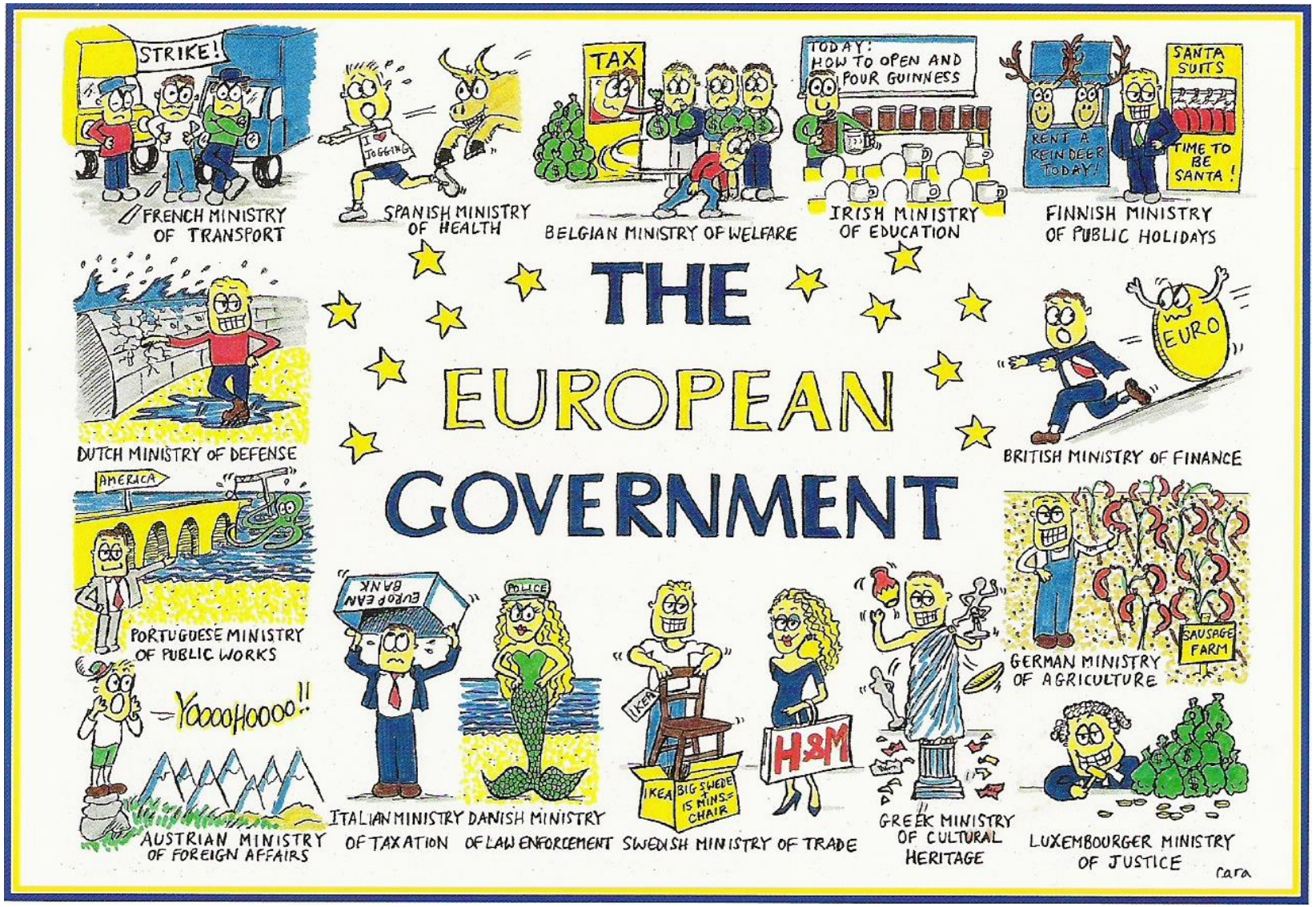
THE EUROPEAN GOVERNMENT
STRIKE!
FRENCH MINISTRY OF TRANSPORT
I ♥ JOGGING
SPANISH MINISTRY OF HEALTH
TAX
BELGIAN MINISTRY OF WELFARE
TODAY: HOW TO OPEN AND POUR GUINNESS
IRISH MINISTRY OF EDUCATION
SANTA SUITS
RENT A REINDEER TODAY!
TIME TO BE SANTA!
FINNISH MINISTRY OF PUBLIC HOLIDAYS
DUTCH MINISTRY OF DEFENSE
EURO
BRITISH MINISTRY OF FINANCE
AMERICA
PORTUGUESE MINISTRY OF PUBLIC WORKS
YOOOOHOOOO!!
AUSTRIAN MINISTRY OF FOREIGN AFFAIRS
EUROPEAN BANK
ITALIAN MINISTRY OF TAXATION
POLICE
DANISH MINISTRY OF LAW ENFORCEMENT
IKEA
IKEA BIG SWEDE IS MINS CHAIR
SWEDISH MINISTRY OF TRADE
H&M
GREEK MINISTRY OF CULTURAL HERITAGE
SAUSAGE FARM
GERMAN MINISTRY OF AGRICULTURE
LUXEMBOURGER MINISTRY OF JUSTICE
cara

EU institutions

- How would you define an institution?
- Division of powers
  - Legislative: Council of the EU, European Parliament
  - Executive: European Commission (and special authorities)
  - Judiciary: European Court of Justice

EU institutions

- The key players:
  - European Council (summits)
  - Council of the EU (ministers)
  - European Commission
  - European Parliament
  - European Court of Justice

European Council

- Body of the highest political level
- Creates strategic plans
- Seeks for compromises by decisions

European Council: summits

- Summit: four times a year
  - Chiefs of administrations of the member states (heads of government + French president)
  - European Commission president (presence of Ministers of Foreign Affairs)
  - President of the European Council (António Costa)
  - Strategic decision-making

European Council: president

- The President of the European Council is responsible for
  - Chairing European Council meetings and driving forward its work
  - Ensuring the preparation of European Council meetings and the continuity of their work, in cooperation with the President of the European Commission, and on the basis of the work of the General Affairs Council configuration
  - Helping to facilitate cohesion and consensus within the European Council
  - Presenting a report to the European Parliament after each European Council meeting
- The President of the European Council also ensures the external representation of the EU at the level of heads of state or government
  - On issues related to the EU Common Foreign and Security Policy (CFSP), alongside the High Representative of the Union for Foreign Affairs and Security Policy who helps put into effect the CFSP and ensure its unity, consistency and effectiveness
  - At international summits, usually alongside the President of the European Commission

Council of the EU

- (Ministers‘ Council)
- Together with the European Parliament (EP) approves legislative acts
- Coordinates economic policies within EMU (Economic and Monetary Union)
- Gives final approval on international agreements (competence shared with EP)
- Approves budget (together with EP)

Council of the EU

- Ministers with various agenda (10):
  - General Affairs (GAC): General affairs co-ordinates the work of the Council of the EU, prepares for European Council meetings and deals with issues crossing various council formations
  - Foreign Affairs (FAC): Chaired by the High Representative
  - Economic and Financial Affairs (Ecofin)
  - Agriculture and Fisheries (Agrifish)
  - Justice and Home Affairs (JHA)
  - (EPSCO): Composed of employment, social protection, consumer protection, health and equal opportunities ministers
  - Competitiveness (COMPET)
  - Transport, Telecommunications and Energy (TTE)
  - Environment (ENV)
  - Education (EYC)

Council of the EU

- COREPER: Committee of Permanent Representatives
- Communication and information role
- Within the Council of the EU operate specialized working groups for partial segments of policies which do not have voting power but to help negotiations to find a final compromise, the officials involved ministries (~120)

Council of the EU

- It has general legislative competence in all areas that are not within its competence of the European Commission (EC)
- On a proposal from the EC adopts legislation (regulations, directives, decisions)
  In certain cases, it adopts decisions jointly with the European Parliament

Council of the EU

- Number of votes for each Member State is arranged in treaties
- The treaties also define areas and issues where decisions are made by
  - Simple majority
  - Qualified majority (QMV)
  - Unanimously
- http://www.consilium.europa.eu/en/council-eu/voting-system/
- After 2014 applies double majority
  - 55% of States
  - 65% of the population
  - Blocking minority - 4 States

Council of the EU

- Qualified majority voting
  - From 1 November 2014, a qualified majority will be reached if the following two conditions:
  - At least 55% of the members of the Council of the EU
  - Comprising at least 15 of them
  - These members must represent min. 65% of EU citizens

Council of the EU: The EU Presidency

- 2007 – DE, PT
- 2008 – SI, FR
- 2009 – CZ, SE
- 2010 – ES, BE
- 2011 – HU, PL
- 2012 – DK, CY
- 2013 – IE, LT
- 2014 – EL, IT
- 2015 – LV, LU
- 2016 – NL, SK
- 2017 – MT, EE
- 2018 – BG, AT
- 2019 – RO, FI
- 2020 –CRO, DE
- 2021 – PT, SI
- 2022 – FR, CZ

Council of the EU: The EU Presidency

- Planning and chairing meetings in the Council and its preparatory bodies
  - The presidency chairs meetings of the different Council configurations (with the exception of the Foreign Affairs Council) and the Council's preparatory bodies, which include permanent committees such as the Permanent Representatives Committee (Coreper), and working parties and committees dealing with very specific subjects.
  - The presidency ensures that discussions are conducted properly and that the Council's rules of procedure and working methods are correctly applied.
  - It also organises various formal and informal meetings in Brussels and in the country of the rotating presidency.
- Representing the Council in relations with the other EU institutions
  - The presidency represents the Council in relations with the other EU institutions, particularly with the Commission and the European Parliament. Its role is to try and reach an agreement on legislative files through trilogues, informal negotiation meetings and Conciliation Committee meetings
  - The presidency works in close coordination with:
    - The President of the European Council
    - The High Representative of the Union for Foreign Affairs and Security Policy
    - It supports their work and may sometimes be requested to perform certain duties for the High Representative, such as representing the Foreign Affairs Council before the European Parliament or chairing the Foreign Affairs Council when it discusses common commercial policy issues

European Commission

European Commission

- 27 Members (5 years)
- The president of the EC: Ursula von der Leyen
- Directorate General – with Directors
  - Specialized departments and agencies
- Legislative initiatives
- Wide open to the public
  - Green Paper, White Paper

European Commission

- Though there is one Commissioner from each EU country, their job is to defend the interests of the EU as a whole – rather than national interests
- Within the Commission, they are the decision-makers. For example, collectively they
  - Make decisions on the Commission's strategies and policies
  - Propose laws, funding programmes and the annual budget for discussion and adoption by Parliament and the Council

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Directorates General (DG)

- Agriculture
- Competition
- Economy and Finance
- Education and culture
- Employment and Social Affairs
- Energy and transport
- Entrepreneurship
- Environment
- Fishing
- Health and consumer protection
- Information society
- internal market
- Joint research
- Justice and Home Affairs
- Regional politics
- Research
- Taxation and customs
- Development (development assistance abroad)
- Extension
- European assistance, cooperation and foreign relations
- Humanitarian
- Foreign trade

Other bodies of the EC

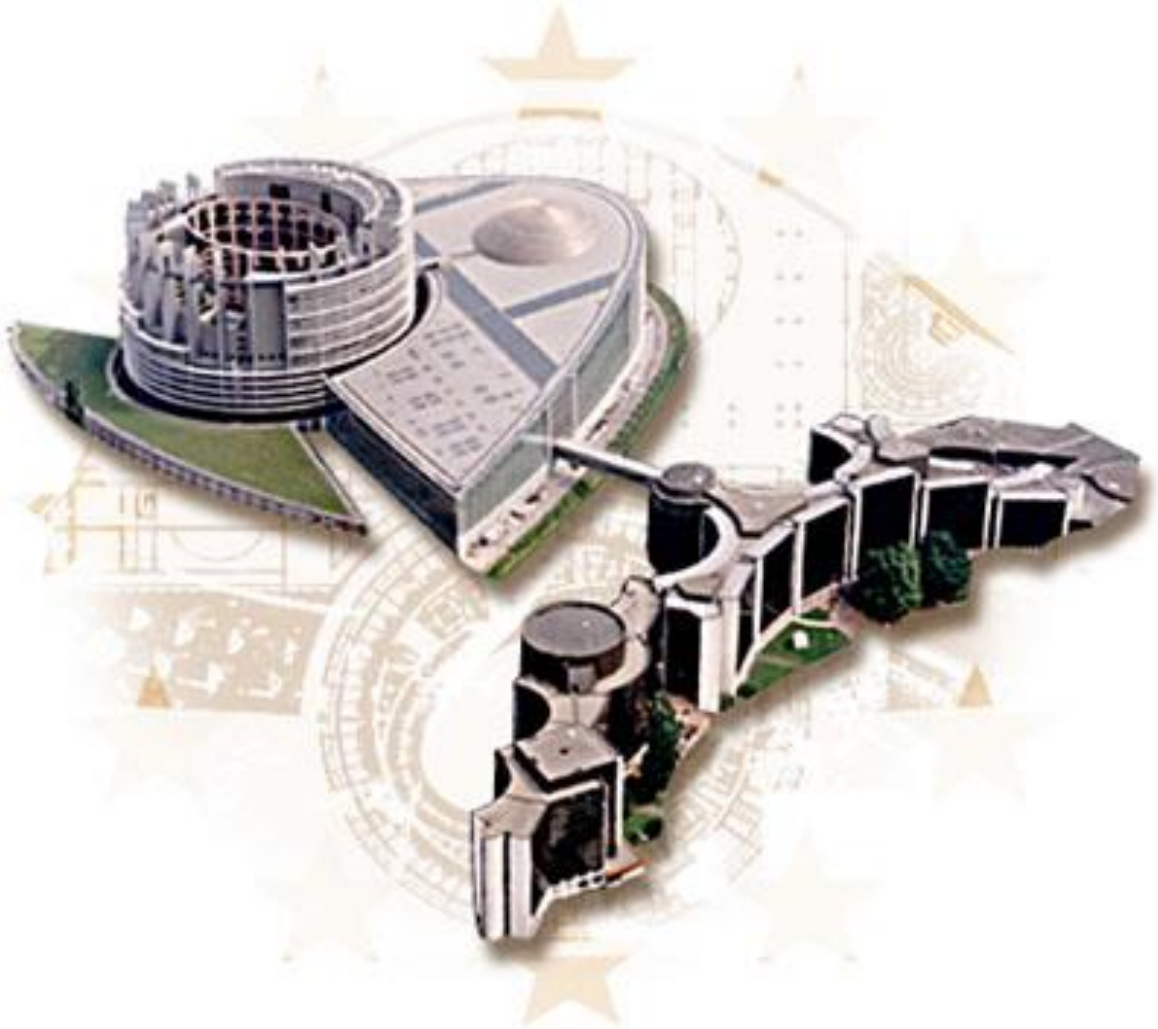
- General services:
  - The Office for Anti-Fraud Office (OLAF)
  - EUROSTAT
  - Press and Communications
  - Publications Office
  - The General Secretariat
- Internal services:
  - Budget
  - Policy Advisers
  - Informatics
  - Internal audit
  - Interpretation
  - Lawyer services
  - Personnel and administrative
  - Translation services

Specialized agencies

- Community agencies (22), for example
  - European Environment Agency (EEA)
  - The European Centre for Disease Prevention and Control (ECDC)
  - European Institute for Gender Equality (in preparation)
  - The Office for GNSS Supervisory Authority (GSA)
  - The Office for Harmonization in the Internal Market (Trade Marks and Designs) (OHIM)
- Agencies Common Foreign and Security Policy (3)
  - European Defence Agency (EDA)
- Agency for Cooperation of police. and the court. authorities in criminal matters (3)
  - The European Police Office (Europol)
- Executive agencies (6)

European Parliament

- Main Seat in Strasbourg



European Parliament

- European Parliament: 5 years directly elected MEPs
  - 732 from June 2004 (max. 785)
  - 736 after the June 2009 elections
  - 750 + 1 after the Lisbon Treaty
  - 705 after Brexit
- Direct elections from 1979
- Political representation
- Approves the budget committee; Co-decision procedure (consultation)

Competences of the EP

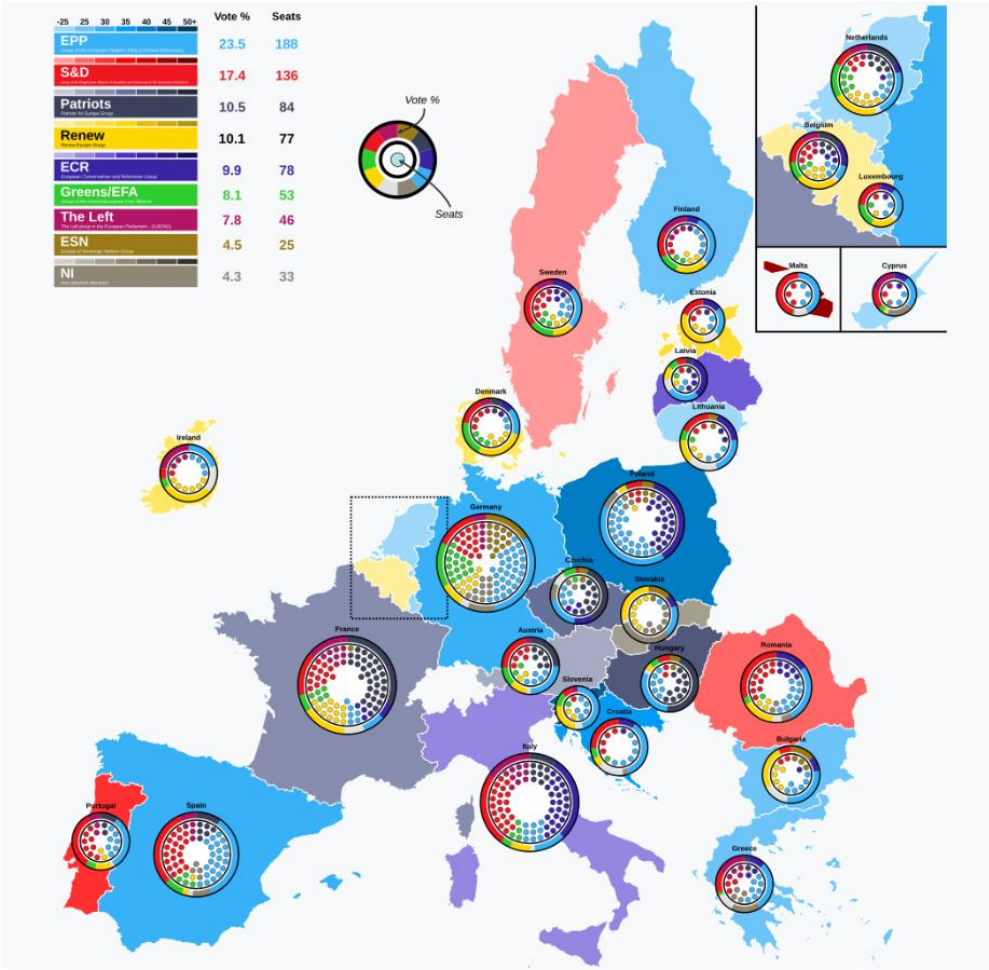
- MEPs, who defend the interests of EU citizens, are elected in direct elections for a term of five years. Parliament is, next to the Council of the EU, one of the main EU institutions which adopts laws
- The European Parliament has three main roles
  - Together with the Council, discussed and approved by EU legislation supervises other EU institutions, especially the European Commission, to check the functioning of their democratic
  - Together with the Council, discusses and adopts the EU budget

Changes of EP under Lisbon Treaty

- It maintained digressive proportionality, with a minimum number of deputies to the MS is 6 (to even the smallest states could reflect the diversity of political orientation of the population)
- A maximum of 96 per state
- About the elected EP, the European Council decides unanimously on a proposal from the EP

Numbers of MEPs after Brexit

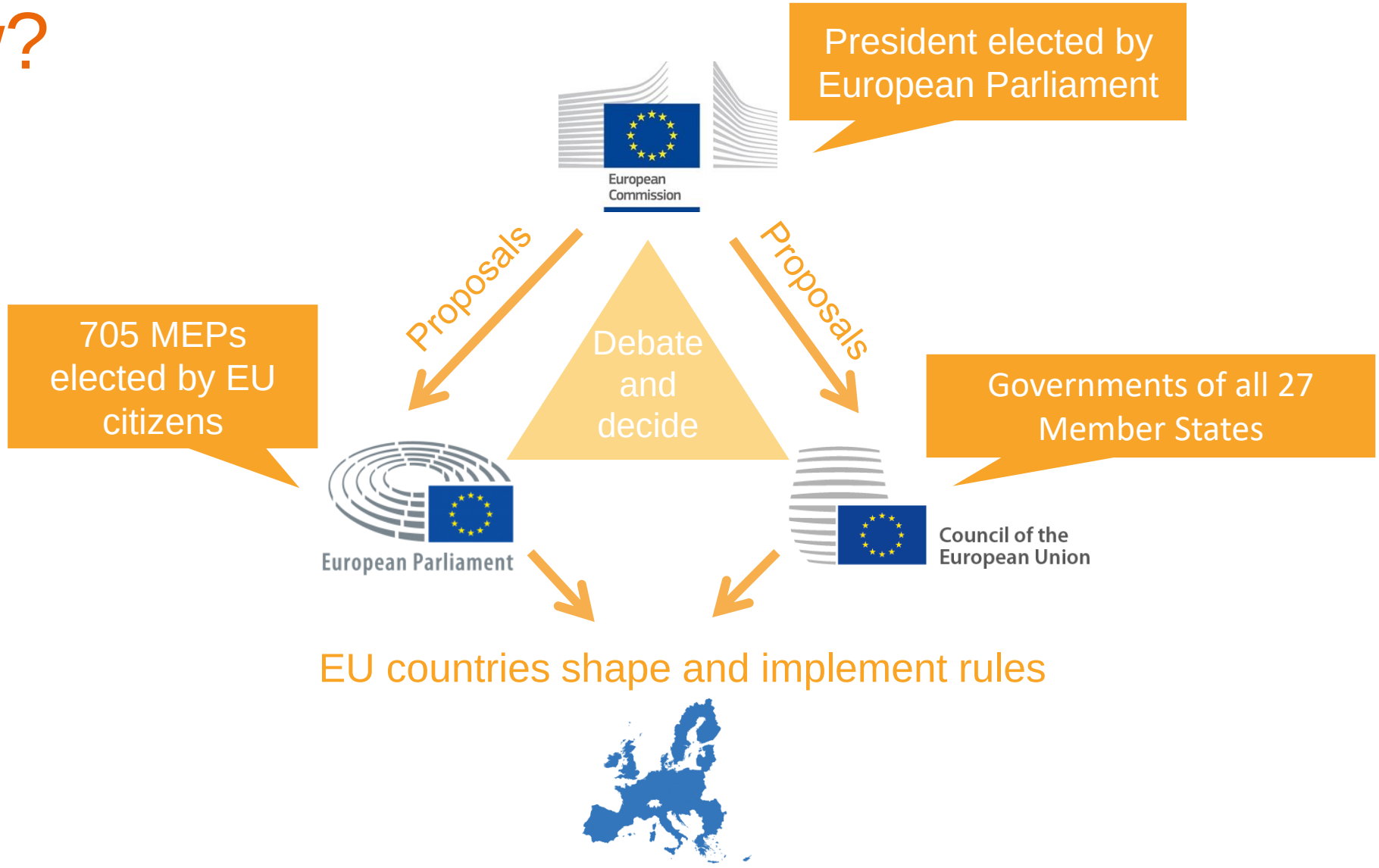
Election results (2024) and fractions



Political groups

- Group of the European People's Party (Christian Democrats)
- Group of the Progressive Alliance of Socialists and Democrats in the European Parliament
- Renew Europe Group
- Group of the Greens/European Free Alliance
- Identity and Democracy Group
- European Conservatives and Reformists Group
- The Left group in the European Parliament - GUE/NGL

How?


President elected by European Parliament
European Commission
Proposals
Proposals
Debate and decide
705 MEPs elected by EU citizens
Governments of all 27 Member States
European Parliament
Council of the European Union
EU countries shape and implement rules

Other institutions

- European Court of Justice
- European Court of Auditors
- The European Investment Bank
- Economic and Social Committee
- Committee of the Regions
- Special offices and agencies…

European Central Bank

- Role: To manage the euro, keep prices stable and conduct EU economic & monetary policy
- President: Christine Lagarde
- Members: ECB President and Vice-President, and governors of national central banks from all EU countries
- Established in 1998
- Location: Frankfurt (Germany)

European Central Bank

- Sets the interest rates at which it lends to commercial banks in the eurozone (also known as the euro area), thus controlling money supply and inflation
- Manages the eurozone's foreign currency reserves and the buying or selling of currencies to balance exchange rates
- Ensures that financial markets & institutions are well supervised by national authorities, and that payment systems work well
- Ensures the safety and soundness of the European banking system
- Authorises production of euro banknotes by eurozone countries
- Monitors price trends and assesses risks to price stability

European Central Bank

- The ECB President represents the Bank at high-level EU and international meetings. The ECB has the following three decision-making bodies
  - Governing Council – the main decision-making body; consists of the Executive Board; plus the governors of the national central banks from eurozone countries
  - Executive Board – handles the day-to-day running of the ECB. Consists of the ECB President and Vice-President and 4 other members appointed for 8-year terms by the leaders of the eurozone countries
  - General Council – has more of an advisory & coordination role. Consists of the ECB President and Vice-President and the governors of the central banks from all EU countries

European Court of Justice

- Role: Ensuring EU law is interpreted and applied the same in every EU country; ensuring countries and EU institutions abide by EU law.
- Members
  - Court of Justice: 1 judge from each EU country, plus 11 advocates general
  - General Court: 47 judges. In 2019, this was increased to 56 (2 judges from each EU country)
- Established in 1952
- Location: Luxembourg

European Court of Justice

- Interpreting the law (preliminary rulings) – national courts of EU countries are required to ensure EU law is properly applied, but courts in different countries might interpret it differently. If a national court is in doubt about the interpretation or validity of an EU law, it can ask the Court for clarification. The same mechanism can be used to determine whether a national law or practice is compatible with EU law
- Enforcing the law (infringement proceedings) – this type of case is taken against a national government for failing to comply with EU law. Can be initiated by the European Commission or another EU member state. If the country is found to be at fault, it must put things right at once, or risk a second case being brought, which may result in a fine
- Annulling EU legal acts (actions for annulment) – if an EU act is believed to violate EU treaties or fundamental rights, the Court can be asked to annul it – by an EU government, the Council of the EU, the European Commission or (in some cases) the European Parliament. Private individuals can also ask the Court to annul an EU act that directly concerns them
- Ensuring the EU takes action (actions for failure to act) – the Parliament, Council and Commission must make certain decisions under certain circumstances. If they don't, EU governments, other EU institutions or (under certain conditions) individuals or companies can complain to the Court
- Sanctioning EU institutions (actions for damages) – any person or company who has had their interests harmed as a result of the action or inaction of the EU or its staff can take action against them through the Court

European Court of Justice

- Written stage
  - The parties give written statements to the Court, and observations can also be submitted by national authorities, EU institutions and sometimes private individuals
  - All of this is summarised by the judge-rapporteur and then discussed at the Court's general meeting, which decides
    - How many judges will deal with the case: 3, 5 or 15 judges (the whole Court), depending on the importance and complexity of the case. Most cases are dealt with by 5 judges, and it is very rare for the whole Court to hear the case
    - Whether a hearing (oral stage) needs to be held and whether an official opinion from the Advocate General is necessary
- Oral stage – a public hearing
  - Lawyers from both sides can put their case to the judges and the Advocate General, who can question them
  - If the Court has decided that an Opinion of the Advocate General is necessary, this is given some weeks after the hearing
  - The judges then deliberate and give their verdict
- General Court procedure is similar, except that most cases are heard by 3 judges and there are no advocates general

European Court of Auditors

- To check that EU funds are collected and used correctly, and help improve EU financial management
- Audits EU revenue & expenditure, to check EU funds are correctly raised, spent, and achieve value for money and accounted for
- Checks any person or organisation handling EU funds – including spot checks in EU institutions (especially the Commission), EU countries and countries receiving EU aid
- Writes up findings and recommendations in audit reports for the European Commission and national governments
- Reports suspected fraud, corruption or other illegal activity to the European Anti-Fraud Office (OLAF)
- Produces an annual report for the European Parliament and Council of the EU, which the Parliament examines before deciding whether to approve the Commission's handling of the EU budget
- Gives its expert opinion to EU policymakers on how EU finances could be better managed and made more accountable to citizens

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Recommended reading

- Baldwin and Wyplosz (2022); see syllabus
  - The economics of European Integration
  - Chapter 2. Institutions
- Reader 3 (at home): Russack (2019)
- Russack, S. (2019). EU parliamentary democracy: how representative?. *CEPS Policy Insights*, *7*.